

Bouncy Ball Trade

Why the Bouncy Ball Trade works:

- When an in-play stock makes a significant move in one direction, the stock will try to put in a low and bounce
- If the stock is going to remain weak, we will see shallower bounces as buyers fail to take control from sellers
- Eventually, the selling will overwhelm buyers and we can get a breakdown of the support for continued follow-through

Entry Rules (inverted rules for the long side):

- Enter aggressively when the support breaks

Stop Loss Rules:

- The stop should be placed just above the lower high

Exit Rules:

- This is a momentum trade so we will trail using a momentum exit
- We will exit after a new 2-min high or with a reclaim of the 9 EMA

Factors that increase the probability of this trade working:

- Increasing volume on the support break
- A quick drop once the support breaks

Factors that decrease the probability of this trade working:

- We do not want to see a decrease in volume after the break
- We do not want to see a rebid once the support breaks

The ideal times of day to take this trade:

- Late Morning (10:30 AM - 11:59 AM)
- Mid-day (Noon - 2 PM)
- Power hour (3 PM - Close)

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the opening drop is overextended from VWAP

